

All Questions- PLO 2

So, marginal analysis is the process to find the change/impact on var2, on the unit change in var1.
It includes: MC, MP, MD.

3. Explain that people respond to incentives with example.
According to principle 04:

People respond to incentives
↓ ↓
customer producer reward punishment
Higher money → Higher work
Higher cigarette tax → less smoking.

4. Define scarcity problem and its solution.

Scarcity means limited resources and unlimited wants.

Solution: Ranking on priority basis based on scarcity
Demand ↑ Supply ↓

5. Why people have to trade-off?

Trade-off means to get something we have to sacrifice something. It's the best sacrifice in terms of economics.
people have to trade-off to get something

6. Differentiate between individual firm and industry with an example.

Individual firm is the part of microeconomics & industry is the part of macroeconomics.

7. Define rational people.

People who think logically at margin.
They are called rational.

8. How people can make their life better-off?

According to ^{principle} Trade makes everyone's life better-off.

through trading internationally (export, import).
rationally.

9. Write 5 criteria or indicators which indicates better living standard.

5 criterias are

i. GDP

iv. CPI

ii. GNP

v. Employment rate

iii. Per capital income

10. Clarify 'principle 9' of Economics- prices rise when government prints too much money.

It changes the rate between inflation and unemployment.

11. Define Household.

Household means to live together and work together.

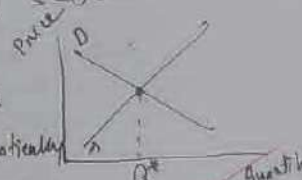
12. Clarify the tasks of household, firms and market.

Household: Land, Investment, Entrepreneur,
supply
→ firms: make product.

market: where economy activity crosses such as buying and selling

13. Define free market approach of market.

Free market approach means when rise demand adjusts automatically without any external interference $\uparrow D \approx \downarrow S$ and $\uparrow S \downarrow D$



14. Why does government sometimes improve the market outcome?

Although in most cases, the invisible hand theory & free market approach stabilizes the market, in special cases the government has to interfere to make things stable.

When market lost its balance between demand & supply.

to inflation ↓:
 MS ↓
 r ↑
 Loan ↓
 production ↓
 Employment ↓
 Unemployment ↑

15. What is the meaning of short-run trade-off between inflation and unemployment?

The meaning of short run trade-off between inflation rate increasing than unemployment rate decreasing.

Ex: inflation ↑ unemployment ↓, inflation ↓ unemployment ↑

16. Why when government tries to reduce inflation, the unemployment rises?

Government tries to reduce inflation to decrease Employment.

Inflation ↓; money supply ↓; rate ↑; loan ↓; production ↓; employment ↓; Unemployment ↑

17. Why when government tries to reduce unemployment problem, the inflation rises?

To reduce unemployment, government needs to create more jobs, so production must also increase, loans will go up in interest rate due to surplus money supply, inflation goes up.

18. How trade can make everyone better-off?

Trade will increase variety and growth amongst society. Sometimes government import products to reduce local products price & by exporting products people can earn internationally to make their life better-off.

19. Define MU with an example.

	var 1	var 2
Eating	2 cakes	Satisfaction gain 400 unit
Drinking	"	" 350 "
"	3 "	"
"	"	"
		MU → 550 - 400 = 150

utility
 The change in var 2, for 1 unit change in var 1

20. Define MC with an example.

	var 1	var 2
to produce	10 pers.	cost 100 taka
"	"	" 105 taka
"	11 pers.	"
	MC → 105 - 100 = 5	

The change in ~~var~~ production cost in var 2 due to change in 1 unit of variable 1. specify